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Chapter 7

Journal Maintenance



Introduction To GL Journal Maintenance

The majority of transactions which result in updates to General Ledger accounts originate from other linked JBA modules - Accounts Payable and Receivable, Payroll runs, fixed asset acquisitions and depreciation runs. The target company and GL posting accounts are defined in the source module, or by using AFI.

Another method of updating GL account balances is by posting journals directly into the General Ledger. These journals are listed below.

- User journals - the account and value must be entered during processing.
- Semi-automatic journals - you must enter the values, but need not enter the target accounts.
- Automatic journals - you need not enter the value or accounts.

Journal Type	Specific Category	Maintainable	Reversing	Suspendable	VAT
General	User	No	Yes	Yes	Yes
Standing	Semi-automatic	Yes	Yes	No	No
Constant	Automatic	Yes	Yes	No	No
Spread	Semi-automatic	Yes	Yes	No	No
Apportionment	Automatic	Yes	Yes	No	No
Cost allocation	Automatic	Yes	Yes	No	No
Inter-company	User	No	No	Yes	Yes
Prior period	User	No	No	No	Yes
Statistical	No	No	No	Yes	No
Post to post-inhibited accounts	User	No	No	No	Yes

Automatic and semi-automatic journals do not require the posting account to be entered as these are set up during journal maintenance, hence the maintainable column. It is not possible to suspend the maintainable journals as you should ensure all input is correct at the maintenance stage.

The General Ledger has a separate VAT subsystem which is used for VAT returns and reporting. Any journal can post to any VAT account, but only the general journal updates the VAT subsystem, thus appearing on the VAT return.

General Journal

The general journal is for direct ad hoc postings to the General Ledger.

Standing Journal

A standing journal is a skeleton of account codes to which values may be posted as often as required. No values are entered against standing journals, nor the sign of the posting. Such a journal could be used for posting payroll journals, accruals, prepayments or salaries.

Constant Journals

A constant journal is a list of account codes to which values are attached. It may be posted as often as required and could be used to transfer a fixed charge each period such as a charge for office rent from head office to operating divisions. Although the values are predefined, you can amend at posting time.

Spread Journals

A spread journal is a list of spread factors set up against specified accounts. When values are posted by way of the spread journal these factors will be employed to post specific amounts to each chosen account.

Apportionment Journals

The apportionment journal is not unlike the spread journal. It retrieves existing values from a predefined control account, and spreads the value into other accounts using a predefined ratio.

Cost Allocation Journals

A cost allocation journal is created to allocate the values sent to an account or range of accounts by first apportioning them by factors and then carrying out calculations on these apportioned amounts to obtain values to post to the target accounts.

It is calculated by first taking the total value of a range of source accounts, spreading this value by the spread factors in a range of factor accounts, and converting the resultant values within these target accounts to obtain the final figures.

Inter Company Journal

An inter company journal enables you to post the dissections to other companies defined as inter company companies.

Post To Post Inhibited Accounts Journal

This journal is like a general journal, except that it allows posting to post inhibited accounts. Its primary use is the loading of opening balances.

This utility option is for security purposes, as misuse can create reconciliation problems. Contact your software supplier before using this function.

Journal features:

- GL session is created when journal is completed.
- Enquiries can be made by session.
- Postings are available by session.

Journal features available during journal processing:

- On line account prompting and validation.
- Running balance (cumulative postings).
- Currency selection.
- Currency rate overrides.
- Supersede quantity option.
- Quantity postings.
- Suspend option for user journals.

Accounting entries:

- Multi debits and credits.
- A control total is required in the header screen.
- Debits must equal credits.

- The sum of debits must equal the control total.

Posting periods

All journals can be posted to the current or a future accounting period except prior period journals, which can be posted to any prior period. Prior period journals should be used with care as they change the periodic cumulative balances on the system. This may mean that you need to rerun Financial Manager reports, trial balance, P&L and balance sheet reports.

If a reversing journal is processed you may accept the next period as the default reversal period or specify another future period.

Cross period journals

The purpose of this function is the posting of accruals and prepayments. You can spread both General Ledger journals and Accounts Payable invoices over several periods. Both prior and future periods may be used, although you will need separate authority to use prior periods. You must also be authorised to the task code to see the necessary fields for posting cross period journals.

You can maintain spread profiles for the dissections using the usual budgeting spread profiles.

The function is controlled by a cross period journal field shown on the first screen of the General Ledger journal. Set it to 1, and you will see the cross period journal option made available on each dissection you post. When you press **Enter**, a window will ask you to enter the relevant periods. You will enter a range of periods (or a start period only in the case of a spread profile).

Enquiries enable you to drill down to the relevant journal dissections. The function is also available for Accounts Payable invoice posting.

Authorisation is usually applied at menu option level, but in this case task authority also has to be specified, as this is an additional function within a menu option.

Future and prior suspense accounts may be used by this facility.

In a multi-currency General Ledger the currency of the journal can be specified. However, the default is the base currency.

Free-format text may be associated with a journal.



Note: If the year-end journal is active, do not post journals to the last period.

Regularly used journals may be predefined. There are five main predefined journal types, each of which may be standard or reversal, depending upon how they have been maintained.

Session Control

When you access the General Ledger module to enter journals, you start a system session. Every time you start a session the system automatically generates a new session number. This number is recorded with every transaction entry you make until you complete the transaction record for use in session audit reports and for enquiries.

If you cancel or interrupt a session, the session number remains assigned, but identified as a cancelled or incomplete session.

Cancelling A Session

At any time during data entry procedure the module allows you to cancel all transactions entered during a session.



Warning: Everything you have entered in the current session will be deleted.

The period balances are updated and the details added to the transaction file.

The transactions are posted to the General Ledger accounts at the end of each posting session. This is done through the GL subsystem, and is a utility option which can be started manually.

Journal Maintenance Automatic Journals

Certain journal types make regular postings with account numbers, or values, or both, set up in advance to simplify posting. They are known as automatic and semi-automatic journals.

The maintenance options enable you to set up the account or value details which will be used when posting. It is not possible to suspend the maintainable journals, so you should ensure all input is correct at the maintenance stage.

The automatic and semi-automatic journal types are:

Standing

A skeleton of accounts to which values may be posted as often as required, normally monthly. Such a journal could be used for posting payroll journals, accruals, prepayments or salaries, where values vary from period to period.

Constant

A list of accounts to which constant values are entered. A constant journal can be posted as often as required and could be used to transfer a fixed charge each period such as a charge for office rent from head office to operating divisions.

Spread

A list of spread factors set up against specified accounts. When values are posted by way of the spread journal these factors will be employed to spread a value at posting time by the amounts you have specified. For example, spread journals might be used to spread the cost of electricity or rates by department within a company.

Apportionment

An apportionment journal is not unlike a spread journal. A ratio is set up which is used to spread the total value held in a specified control account. For example, the costs of a central service may be spread over operating divisions in proportion to sales revenue. This can be useful if there are regular postings being made to an account throughout the month, but are then spread en masse at month end.



Select the Journal Maintenance Automatic Journals option.

Standing Journal Maintenance

See Journal Maintenance Automatic Journals for more information on Standing Journal Maintenance.

1...
2...

1/GLJ



Select the journal maintenance option Standing to display the first automatic journals maintenance screen.

GL060		Z1 - GB Demonstration Company		USER LOAN		22/11/96 11:43:21	
Maintain Standing Journals							
1	Jnl	Description	T	R	Q	Cur	Rate
-	CAP01	Payroll	0	0		GBP	DAY1
-	CAP02	Payroll	0	0		GBP	PERD
-	CAP03	Payroll	0	0		GBP	PERD
-	KMC001	kmc test for look/fe	0	0		GBP	PERD
-	PLC	plc super journal	0	0		GBP	PERD
-	TEST	Testing	0	0		GBP	PERD
-	TES000	1tesgs	0	0		GBP	PERD
-	21-STD	S/21 Testing	0	0		GBP	PERD
-	640001	Payroll	0			GBP	PERD
-	700001	Sales Income	0			GBP	PERD
-	ACC01	Accruals Journal 1	1			GBP	PE +
Journal . . .		Description		Type . . .			
Reversal . . . @		Quantity . . . @		Curr ? GBP		Rate code ? PERD	
Start period		End period		Frequency . . .			
1=Select		3=Copy		4=Delete			
F3=Exit		F4=Prompt					
18-15		SF		MK		KS IM II EDN400A PET16SS2	

Fields:

Select

- 1 - Amend a line.
- 3 - Copy a line.
- 4 - Delete a line.

T R Q

- T - The account type (fiscal or memo).
- R - Whether reversal posting is used.
- Q - Whether a quantity is to be input.

Journal

Enter the code of the journal you want to add.

Description

Enter the journal description.

Type

M - A memo account.

Blank - A fiscal account.

Reversal

0 - A normal standing journal posting to the applicable period only.

1 - A standing journal posting to the applicable period and a reverse posting to a subsequent period.

Quantity

If quantities are to be posted, enter 1 here.

Curr

Enter the currency of the posting.

Rate Code

If this is a currency journal, enter the rate code to be used to decide the base value.

IC

1 - The inter-company facility is to be used for this posting.

The field defaults to 0 for non-intercompany journals.

Ctl Value / Spread Control

Control Value

Enter a control total (the sum of the debit values) and a control account for the journal.

Spread Control

Enter the total value of the spreads.



The appearance of this item depends on selection at the first screen and other set up factors.

Control Account

Enter the control account as required.

Base

1 - The total base value on the control account is to be used.

Otherwise the specific currency value will be used.

Start Period

If the posting of the journal is to commence in a specific period, enter that period here.

End Period

If the posting of the journal is to end in a specific period, enter that period here.

Frequency

If the posting of the journal should only occur at periodic intervals, enter the number of periods here. To post in every third period, for example, enter 3 here.



This first screen displays the header details of any journals that have already been created. Select the one you wish to amend by entering 1 against it, and press **Enter**.

Automatic Journals Maintenance Screen 2

Amend selected automatic journal details.



Enter 1 to amend a line at the first automatic journal details screen.

```

GL060      Y0 - Education Company - Y0      User GBJBAMGS  26/06/95
                                           12:33:35

Maintain Standing Journals
Journal ST0001  Desc Travel expenses      Type      Reverse 0
                                           Cur  GBP  Rt.cd *DFT

1 Line Account      Description
-   10 500ABC        Rail,Alan Clark,
-   20 500CLT        Rail,Cliff Taylor,
-   30 500DEF        Rail,Des Farmer,
-   40 500GHI        Rail,George Ireland,
-   50 500JKL        Rail,Jose Lawrence,
-   60 501JPL        Air,John Lewis,
-   Travel expenses
Account code ?      Desc Travel expenses

Line No . . .      220
1=Select  4=Delete      ROLL-UP=More accounts
F4=Prompt  F5=Resequene F8=Accept  F11=Delete journal  F12=Previous
                        F22=Extension code
19-18      SF      MW      KS      IM      II  EDN400A  PCET02S3
  
```

Fields:

Select

- 1 - To amend a line.
- 4 - To delete a line.

Account Code

Enter the account which you want to add as a posting, and press **Enter**.

Desc

The description associated with the account code you enter displays automatically, but may be changed.

Factor Or Value

Factor

Enter the spread factor for this line.

Value

Enter the value for the posting.



Note: The appearance of this item depends on selection at the first screen and other set up factors.

Quantity

Enter the quantity for the posting. This field displays only if 1 was entered in the quantity field on the previous screen.

Line No

Enter the line number as required. A default is entered, but may be changed if necessary. You cannot enter an existing number.



When you have added or amended a line and pressed **Enter**, you will see the posting details transferred to the list at the top of the screen.



Once all entries have been made, press **F8=Update** to accept. If the debit values do not add up to the control value, or if the credits do not equal the debits, you will see a warning message, allowing you to go back into the journal maintenance and rectify the problem. The control excludes postings to memo accounts.

Constant Journal Maintenance

1...
2... **2/GLJ**

See Journal Maintenance Automatic Journals for more information on Constant Journal Maintenance.



Select the journal maintenance option Constant to display the first automatic journals maintenance screen.

```

GL068                Z1 - GB Demonstration Company    USER GBJBA1MS    28/11/97
                                                           9:49:52

Maintain Constant Journals

1 Jnl      Description      T R Q      Control value  Cur code  Rate
- JRNLI1   Journal 1        0 0      100.00    GBP PERD
- JRNLI2   Journal 2        0 0      150.00    GBP PERD
- KMC001   kmc test for look/fe 0 0      1100.00   GBP PERD
- PLCRW1   plc report writer te 0 0      262.00    GBP PERD
- TEST1    test1            0 0      100.00    GBP PERD
- TEST2    test2            0 0      50.00     GBP PERD
- 000001   test journal      0 0      99.00     GBP PERD
- 21-CON   S/21 Constant Journa 0 0      675.00    GBP PERD
- 580001   P/L Depreciation      0      2400.00   GBP PERD
- ACC02    Accruals Journal 2    1 0      50.00     GBP PERD

Journal . . . Description . . . Type . . .
Reversal . . 0 Quantity . 0 Curr ? GBP Rate code ? PERD IC . . 0
Ctl.value . . .00
Start period 0000 End period 0000 Frequency . . .
1=Select 3=Copy 4=Delete
F3=Exit F4=Prompt

18-15 SA MW KS CL IM DM II STUD140 KB PKH312SI
  
```

See Standing Journal Maintenance for details of completing the journals screens.

Spread Journal Maintenance



3/GLJ

See Journal Maintenance Automatic Journals for more information on Spread Journal Maintenance.



Select the journal maintenance option Spread to display the first automatic journals maintenance screen.

GL068 Z1 - GB Demonstration Company USER GBJBA1MS 28/11/97
10:03:24

Maintain Spread Journals

1	Jnl	Description	T	R	Q	Spread control	Rate
-	JCP1	test	0	0		100.00	GBP PERD
-	KMC001	kmc test for look/fe	0	0		150.00	GBP PERD
-	PLCRW2	plc report writer sp	0	0		262.00	GBP PERD
-	SPR965	test for problem 965	0	0		100.00	GBP PERD
-	000001	gold spread journal	0	0		100.00	GBP PERD
-	21-SPR	S/21 Testing - Sprea	0	0		83.00	GBP PERD
-	620001	Staff Entertainment	0	0		60.00	GBP PERD
-	REV	gold spread journal	1	0		100.00	GBP PERD

Journal . . .

Description

Type . . .

Reversal . . .

Quantity . . .

Curr ? GBP

Rate code ? PERD

IC . . .

Spread ctl . . .

Start period 0000

End period 0000

Frequency . . .

1=Select 3=Copy 4=Delete

F3=Exit F4=Prompt

18-15 SA MW KS CL IM DM II STUD140 KB PKH312S1

See Standing Journal Maintenance for details of completing the journals screens.

Apportionment Journal Maintenance

1...
2... **4/GLJ**

See Journal Maintenance Automatic Journals for more information on Apportionment Journal Maintenance.



Select the journal maintenance option Spread to display the first automatic journals maintenance screen.

GL068		Z1 - GB Demonstration Company		USER GBJBA1MS	28/11/97	
					10:10:01	
Maintain Apportionment Journals						
1	Jnl	Description	T R Q	Account	Apportionment Spread control	Rate Cur code
-	AAA	fdskfjkd	0 0	601200	200.00	GBP PERD
-	ABC	IPM	0 0	601300	100.00	GBP PERD
-	APP1	app1	0 0	606100	100.00	GBP PERD
-	APP2	APPORTION 2	0 0	606100	100.00	GBP PERD
-	CUR1	Currency	0 1	601100	100.00	USD PERD
-	IPM	test jnl IPM	0 0	BS2	200.00	GBP PERD
-	IPM1	test for ipm	0 0	DEFIJC	100.00	GBP PERD
-	JAS	jas	0 0	BS3	50.00	GBP PERD
-	JAS3	Test Journal	0 0	601100	100.00	GBP PERD
-	JC1	Test Journal	0 0	CAP02	100.00	GBP PERD
-	JJ	testing	0 0	BS3	100.00	GBP PE +
Journal . . . Description . . . Type . . . Reversal . . . Quantity . . . Curr ? GBP Rate code ? PERD IC . . . Spread ctl . . . Ctl acct ? . . . Ext? . . . Base . . . Start period 0000 End period 0000 Frequency . . . 1=Select 3=Copy 4=Delete F3=Exit F4=Prompt						
18-15 SA MW KS CL IM DM 11 STUD140 KB PKH312S1						

See Standing Journal Maintenance for details of completing the journals screens.

Cost/Advanced Cost Allocation Journal Maintenance

Two options are available for cost allocation journal maintenance:

- Cost Allocation.
- Advanced Cost Allocation.

Cost Allocation



5/GLJ



Warning: The use of the standard cost allocation journal requires you to set up default accounts in advance, via the Parameters (Audit) option (**GLA**). This procedure is explained here.

Cost allocation journals allow you to allocate costs from an account or a series of accounts (source accounts) to a generated account or set of generated accounts (target accounts) based on the contents of a third account or range of accounts (factor accounts).

Two cost allocation journal options are provided. The first, the standard Cost Allocation Journal option, sets up and performs a simple allocation. The Advanced Cost Allocation Journal adds the following facilities:

- The ability to allocate across companies.
- The ability to work in a currency other than base.
- The ability to link any factorisation level with a different target level.
- The ability to use multiple source and factorisation rules.

By way of an example, the standard journal may be used to allocate the costs of a marketing department to product costs based on product sales.

An advanced example would be the allocation of head office costs to a series of projects based on the days worked on each project. This could be set up so that no journal maintenance is required when new projects occur or old ones are completed.

For cost allocation journals to be effective, specific account relationships must exist in the Chart Of Accounts; relationships between the source, factor and target accounts.

The following example shows how you can set up a simple cost allocation journal. The Head Office of a company receives an invoice for electricity at the end of the quarter, which comes to \$1,000.00.

The electricity charge must now be allocated to various departments within the company. However, since each department has a differing number of employees, the electricity charge must be allocated in accordance with the head count of each individual department.

Source Account	Received Value
CAH05021	1000

Factor Accounts	Target Accounts
CAD1HCNT	CAD15022
CAD2HCNT	CAD25022
CAD3HCNT	CAD35022
CAD4HCNT	CAD45022
CAD5HCNT	CAD55022
CAD6HCNT	CAD65022
CAD7HCNT	CAD75022
CAD8HCNT	CAD85022
CAD9HCNT	CAD95022
CAD0HCNT	CAD05022

Assume the following value is posted: \$1,000 to the source account CAHO5021 as an electricity charge.

Assume the following head counts are posted:

Factor Accounts	Headcount Value
CAD1HCNT	10
CAD2HCNT	15
CAD3HCNT	8
CAD4HCNT	15
CAD5HCNT	12
CAD6HCNT	5
CAD7HCNT	6
CAD8HCNT	11
CAD9HCNT	4
CAD0HCNT	14
	100 = TOTAL

These accounts are the factor accounts which will be the basis of the allocation.

In addition to the factor accounts, it is also necessary to have target accounts ready to receive the calculated postings. For the purpose of this example, they will be:

Target Accounts	
CAD15022	for dept 1
CAD25022	for dept 2
CAD35022	for dept 3
CAD45022	for dept 4
CAD55022	for dept 5
CAD65022	for dept 6
CAD75022	for dept 7
CAD85022	for dept 8
CAD95022	for dept 8
CAD05022	for Head Office

These accounts will receive the allocation of the electricity charge. Note that the target accounts and the factoring accounts have account levels 1 and 2 in common, i.e. a relationship.



Note: It is important that these relationships or links exist in the Chart Of Accounts.

Set Up Default and Unallocated Accounts

When using the standard cost allocation journal option you will notice that you cannot enter default or unallocated accounts for postings while you are setting up the journal itself (unlike the advanced version).



Warning: Because of this, the defaults must be entered in advance. This procedure is mandatory. You cannot use the standard cost allocation journal facility without completing it.

First, decide on which accounts you wish to use as your accounts for the following:

- Default account for fiscal journals.
- Default account for memorandum journals.
- Unallocated account for fiscal journals.
- Unallocated account for memorandum journals.

Make a note of the account numbers, including all extension codes.

Cost Allocation Journal Maintenance Screen 1

The cost allocation journal must be set up, specifying how, from where and to where the calculations are to be made.



Select the maintenance option Cost Allocation Journal.

GL510	Z1 - GB Demonstration Company	User GBJBANB1	5/12/95
			15:11:50
Maintain Cost Allocation Journals			
More:			
Opt	Journal Description	Type	Reversing?
-	SCAJ1 Simple Journal		0
		Currency	Rate code
			PERD
Position to journal . . . : █			
1=Maintain 3=Copy 4=Delete			
F3=Exit F10=Add a journal			
20-29 SF MK KS IM II KENB20A PET149S1			

Fields:

Opt

- 1 - To maintain a journal.
- 3 - To copy.
- 4 - To delete.



Any journals already on the system displays on the screen.



Press **F10=Add a Journal** to create a journal, or select an existing journal to see the Maintain Cost Allocation Journal screen.

Maintain Cost Allocation Journal Screen (F10)

Create a new cost allocation journal or maintain an existing one.



Press **F10=Add a Journal** to create a journal, or select an existing journal to see the Maintain Cost Allocation Journal screen.

```

GL510          Z1 - GB Demonstration Company      User GBJBANB1      5/12/95
                                                    15:11:50
Mai  Maintain Cost Allocation Journal
      Journal reference... SCAJ1                      *AMEND
      Description.....  Simple Journal
Opt  1
      Reversing?.....  0                      (0/1)
      Fiscal or memo?.....                      (*BLANK=Fiscal, M=Memo)

      Start period.....  9501      End period.. 9512      Frequency.... 12
      Contra account.....? 606100      08001/005

      Source rules basis..... 1      (1=Value, 2=Qty, 3=Both)
      Factorisation rules basis..... 1 (1=Value, 2=Quantity)

Pos
1=M  F3=Exit   F4=Prompt   F12=Previous
F3=Exit   F10=Add a journal

      05-30      SF      MK      KS      IM      II  KENB20A  PET149S1
  
```

Fields:

Journal Reference

Enter a unique reference name for the journal of up to 6 characters in length.

Description

Enter a description of the journal of up to 30 characters in length.

Reversing?

0 - For a normal journal which posts to the applicable period only.

1 - For a journal posting to the applicable period and a reverse posting to a subsequent period.

Fiscal Or Memo?

Enter the type of journal. Leave blank for fiscal postings or enter an M to indicate postings to memorandum accounts.



The journal type table below shows, for each type of account, whether the journal type has to be fiscal or memo, or whether it can be either:

Journal Type		
	Memo	Fiscal
Source Accounts	Memo/fiscal	Memo/fiscal
Contra Accounts	Memo/blank	Fiscal/blank
Target Accounts	Memo	Fiscal
Unallocated Accounts	Memo	Fiscal
Default Accounts	Memo	Fiscal
Factor Accounts	Memo/fiscal	Memo/fiscal



Note: For source accounts, if the contra account is blank, the journal type must be the same as the source account. If the contra account is not blank, the journal type can be either memo or fiscal.

Start Period

If the posting of the journal should commence in a specific period, enter that period here.

End Period

If the posting of the journal should end in a specific period, enter that period here.

Frequency

If the posting of the journal should only occur at periodic intervals, enter the number of periods here. To post a journal every three periods, for example, enter 3 here.

Contra Account

This field is optional. Enter the account number of the contra account of up to 12 characters in length. It must be a valid account set up on the Chart Of Accounts. If extension codes have been set for the account you must enter them.

If you specify a contra account, reverse postings will occur to this account and the original value of the source accounts will be left intact. Contra accounts are used by fiscal journals only.

Source Rules Basis

- 1 - Apportionment calculations made by value.
- 2 - Apportionment calculations made by quantity.
- 3 - Apportionment calculations made using both methods.

General Ledger accounts can hold quantities and values. For example, a sales account might have the values of the sales you have made and the units sold . The

source rules basis facility gives you the choice of whether to apportion figures by value, quantity or both.

Factorisation Rules Basis

1 - Factorisation calculations made by value.

2 - Factorisation calculations made by quantity.

Only one method of factorisation may be set up since it is impossible to have two ratios for the processing of values across a range of accounts.



When you press **Enter** the Maintain Source Rules window displays.

Maintain Source Rules Window

Amend the description, percentage and rule details of a selected source rule.



To display this window press **Enter** at the Maintain Cost Allocation Journal Screen (F10) option.

GL510	Z1 - GB Demonstration Company	User GJBANB1	5/12/95 15:11:50
Maintain Source Rule			
Journal.....	SCAJ1	Simple Journal	*AMEND
Type.....		[*BLANK=Fiscal, M=Memo]	
Reversing?....	0	[0/1]	
Ledger.....	P/L	Profit & Loss	
Description...	Source Account - Electricity		
Percentage....	100.00		
Level	From?	To?	
1 Expense.....	606130	606130	
5 Corporate.....	08004	08004	
6 Cost Centre.....	005	005	
F3=Exit F4=Prompt F12=Previous F16=Change Ledger			
F3=Exit F10=Add a journal			
09-21 SF MK KS IM II KENB20A PET149S1			

Fields:

Description

Enter the description for the rule's range of accounts of up to 30 characters in length.

Percentage

Enter the percentage of the value to be picked up by this journal.

From?

Enter the first level code in the range of codes you want to have included for this level. Leave this field and the corresponding To field blank to accept all level codes for this level.

To?

Enter the last level code in the range of codes you want to have included for this level. Leave this field and the corresponding From field blank to accept all level codes for this level.

Link

1 - If you want the code to be linked.



Note: You can link more than one level.

2 - For the next linked level

3 - For the third linked level, and so on.

A linked level code for a range of source accounts will link to a level code within the range of factor accounts. It will also result in a list of subtotals being taken by that level code. Each subtotal will then be factorised by the same level code in the range of factor accounts.

Unalloc. Target

Enter the level code appropriate to the unallocated target account to which you want the factorised values to be sent.

If the level code is to be the same as the code expressed in the level code range, enter =. Clearly, one of the target level codes must differ from the level codes specified in the level code range.



It is possible to specify different source rules for different source accounts, potentially within different ledgers, and, therefore, different account code structures. Therefore, you have the opportunity to maintain further source rules for the same cost allocation journal.

For example:

Source rules #1

Source rules #2

Source rules #3

A total will be taken from the three ranges of source accounts and fed into the range of factorisation account(s) to be apportioned.



A likely need for using more than one set of source rules arises should you wish to process a range of accounts while leaving some exempt. The range of accounts can therefore be split into several smaller ranges, missing out the exempt accounts.

In the same way multiple factorisation rules can be set up in order to factorise different ranges of accounts. Thus, the situation may arise of having multiple source rules and multiple factorisation rules.

Source Rule #1	add up values to	Factorisation Rule #1
Source Rule #2	make a grand total	Factorisation Rule #2
Source Rule #3		Factorisation Rule #3
		Factorisation Rule #4

A grand total is taken from the three ranges of source accounts and fed into the four ranges of factorisation accounts. By not specifying any links a grand total of all source accounts will be calculated for allocation.



When you update the source rules, you will then see the Maintain Factorisation Rules window.

Maintain Factorisation Rules Window

Once this window is updated the cost allocation journal has been created and is ready to be posted.

If you specify a contra account while creating the cost allocation journal, the reverse of the allocation will be posted into this account. If you do not, the contra account will be taken as the source account and netted off. This only applies to fiscal journals.



Update the source rules to display the Maintain Factorisation Rules window.

GL510		Z1 - GB Demonstration Company		User GBJBANB1		5/12/95 15:11:50	
Maintain Factorisation Rule							
Journal.....	SCAJ1	Simple Journal				*AMEND	
Type.....		(*BLANK=Fiscal, M=Memo)					
Reversing?....	0	(0/1)					
Ledger.....	SAL	Sales					
Description... <u>Factors - Value of Sales</u>							
Level		From?		To?		Target?	
1 Income Account....		<u>701100</u>		<u>701100</u>		<u>601100</u>	
5 Corporate.....		<u>55001</u>		<u>55003</u>		=	
6 Division.....		<u>100</u>		<u>100</u>		=	
7 Product.....		<u>210</u>		<u>210</u>		=	
8 Project Codes.....		<u>0001</u>		<u>0001</u>		=	
F3=Exit F4=Prompt F12=Previous F16=Change Ledger							
F3=Exit F10=Add a journal							
09-21 SA ML KS IM II KENB20A PET149S1							



Accept details and press **F8=Update** to update

Advanced Cost Allocation Journal

1... **2...** **6/GLJ**

Cost allocation journals allow you to allocate costs from an account or a series of accounts (source accounts) to a generated account or set of generated accounts (target accounts) based on the contents of a third account or range of accounts (factor accounts).

Two cost allocation journal options are provided. The first, standard Cost Allocation Journal option sets up and performs a simple allocation. The Advanced Cost Allocation Journal adds the following facilities:

- The ability to allocate across companies.
- The ability to work in a currency other than base.
- The ability to link any factorisation level with a different target level.
- The ability to use multiple source and factorisation rules.

By way of an example, the standard journal may be used to allocate the costs of a marketing department to product costs based on product sales.

An advanced example would be the allocation of head office costs to a series of projects based on the days worked on each project. This could be set up so that no journal maintenance is required when new projects occur or old ones are completed.

You will find more fields available on the first screen than are available using the standard cost allocation journal. This section includes an explanation of these.

Factorisation Explanation

Specified factor accounts will have their results posted to specified target accounts.

The object is to take the values from the source accounts, factorise them using the factor accounts, and post the resultant values to the target accounts.

The system will start by searching down the list of factor accounts for the first account to process. The value against that account will be the numerator for the factorisation.

The denominator is worked out by taking the sub-totals of each combination of accounts with the links.

The first denominator is accessed. Then the first numerator is accessed, with the links to specify its position in the account. Finally the account is accessed.

The calculation is then done, and the result posted to the target account specified against the generated factor account.

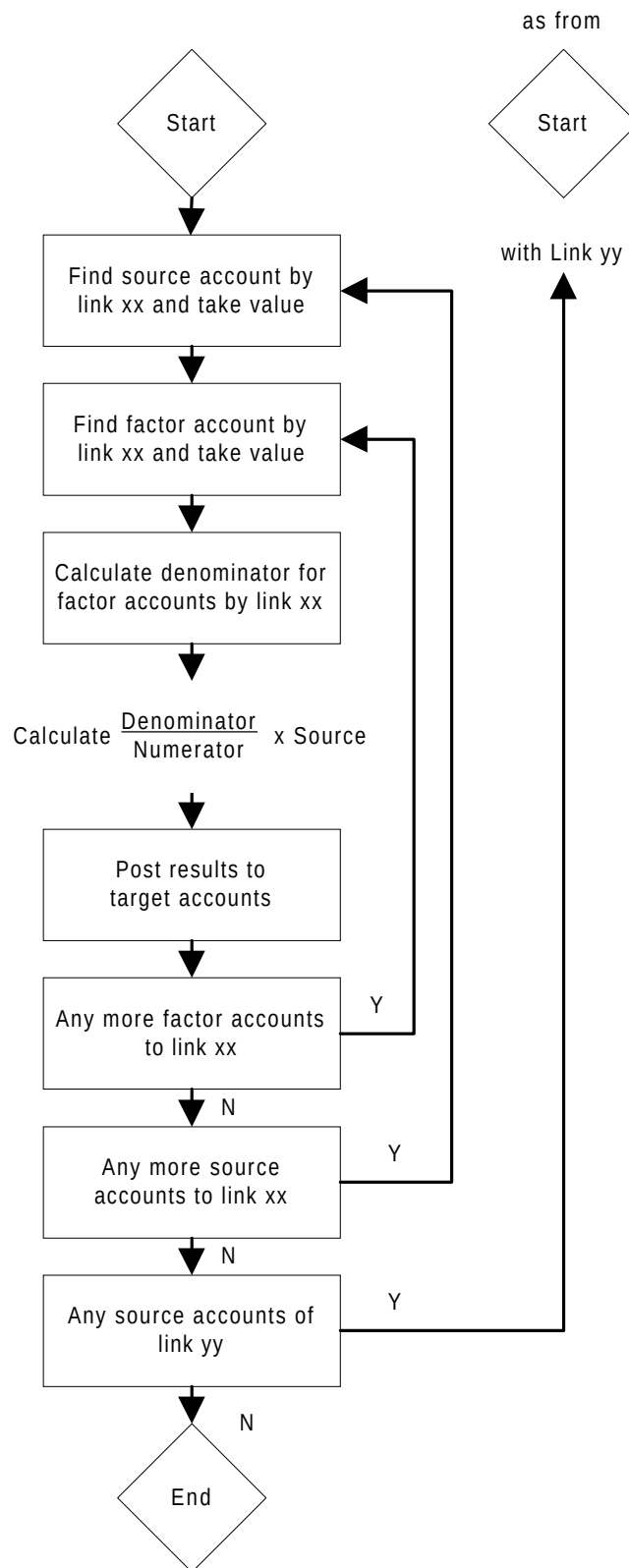
The next numerator is then processed.

The program will then loop back to process another allocation. It will first look to see if there are any more factor accounts with like links to the previous account.

Once all the accounts have been exhausted, the program will return to the source accounts and search for the next source account with a like combination of links. Calculations are then carried out using all applicable factor accounts until they are exhausted.

When the source accounts with the links are exhausted, it will go on and change the lowest level link and search for the factor accounts with the new combination of links. Were all the lower level links exhausted, the higher level link would be changed and a search continued on the new combination. The following diagram shows how the process works:

Cash Allocation Journal Process



Links And Multiple Rules

The use of linking account level codes across ranges of source and factorisation accounts has been demonstrated in this section, as has the use of multiple source and factorisation rules. However, the two can be used in tandem.

- Source rule #1

Level	Description	Length	Link
1	dept	3	1
2	expense	5	

- Source rule #2

Level	Description	Length	Link
1	division	2	
2	dept	3	1
3	expense	5	

Here links have been set up in two ranges of source accounts. Although they have different levels, the codes are of the same length and refer to the same thing, i.e. department. This use of different levels is acceptable, so long as the length of the codes is the same.

- Sub-totals are generated by department and fed into the factorisation accounts.
- Factorisation rule #1

Level	Description	Length	Link
1	division	2	
2	dept	3	1
3	expense	5	

Each factorisation rule would cover a different range of accounts.

The link must be set up for level codes of the same length and with the same meaning (i.e. department).

Maintain Cost Allocation Journal Screen (Option 1)

Amend details of a selected cost allocation journal.



Select a journal line with 1 at the Advanced Cost Allocation Journal selection screen.

```

GL510          Z1 - GB Demonstration Company      User GBUJA1MS      8/01/98
Maintain Cost Allocation Journal                  6:15
Journal reference... NEWONE                      *AMEND
Description..... NEW ADV COST ALLOCN JNL
Inter-company?..... 1                          (0/1)
Reversing?..... 1                              (0/1)
Fiscal or memo?..... M                        (*BLANK=Fiscal, M=Memo)
Currency?..... GBP                            (Leave blank for all)
Rate code?..... PERD
Start period..... 9801      End period.. 9812      Frequency.... 52
Contra account?.....
Default account?..... HTER11      00001
Unallocated account? MDEM01
Source rules basis..... 3      (1=Value, 2=Qty, 3=Both)
Source rules period lag.....
Factorisation rules basis..... 1      (1=Value, 2=Quantity)
Factorisation rules period lag.....
Maintain source rules?..... 1      (0/1)
Maintain factorisation rules?..... 1      (0/1)
F3=Exit      F4=Prompt      F12=Previous
1=Maintain      3=Copy      4=Delete
F3=Exit      F10=Add a journal

3-26      SA      MW      KS CL IM DM II      STUD140      KB      PKH312S1
  
```

Fields:

Journal Reference

Enter a unique reference name for the journal of up to 6 characters in length.

Description

Enter a description of the journal of up to 30 characters in length.

Journal Group

If the journal is part of a group, that group displays here.

Inter-Company

1 - If the journal is to use inter-company posting.

Reversing?

0 - For a normal journal which posts to the applicable period only.

1 - For a journal posting to the applicable period and a reverse posting to a subsequent period.

Fiscal Or Memo?

Enter the type of journal. Leave blank for fiscal postings or enter an M to indicate postings to memorandum accounts.



The table below shows, for each type of account, whether the journal type has to be fiscal or

memo, or whether it can be either:

Journal Type		
	Memo	Fiscal
Source Accounts	Memo/fiscal	Memo/fiscal
Contra Accounts	Memo/blank	Fiscal/blank
Target Accounts	Memo	Fiscal
Unallocated Accounts	Memo	Fiscal
Default Accounts	Memo	Fiscal
Factor Accounts	Memo/fiscal	Memo/fiscal



Note that for source accounts, if the contra account is blank, the journal type must be the same as the source account. If the contra account is not blank, the journal type can be either memo or fiscal.

Currency

Enter the appropriate currency, or leave blank for all currencies.

Rate Code

If this is a currency journal, enter the rate code to be used to decide the base value.

Start Period

If the posting of the journal should commence in a specific period, enter that period here.

End Period

If the posting of the journal should end in a specific period, enter that period here.

Frequency

If the posting of the journal should only occur at periodic intervals, enter the number of periods here. To post a journal every three periods, for example, enter 3 here.

Contra Account

This field is optional. Enter the account number of the contra account of up to 12 characters in length. It must be a valid account set up on the Chart Of Accounts. If extension codes have been set for the account you must enter them.

If you specify a contra account, reverse postings will occur to this account and the original value of the source accounts will be left intact. Contra accounts are used by fiscal journals only.

Default Account

This field is optional. Enter the account number of the default account of up to 12 characters in length. It must be a valid account set up on the Chart Of Accounts. If extension codes have been set for the account you must enter them.

The default account is the account to which amounts will be posted if the generated target account is invalid (for example, it may not exist).

Unallocated Account

This field is optional. Enter the account number of the unallocated account of up to 12 characters in length. It must be a valid account set up on the Chart Of Accounts. If extension codes have been set for the account you must enter them.

The unallocated account will hold posted transactions from those accounts in the range of source accounts which have no specified factorisation accounts with which to link and so cannot be apportioned or factorised.

Source Rules Basis

- 1 - Apportionment calculations made by value.
- 2 - Apportionment calculations made by quantity.
- 3 - Apportionment calculations made using both methods.

General Ledger accounts can hold quantities and values. For example, a sales account might have the values of the sales you have made and the units sold. The source rules basis facility gives you the choice of whether to apportion figures by value, quantity or both.

Source Rules Period Lag

Enter the number of periods previous to the current period from which values will be reported. It is expected, but not vital, that the number of periods would be less than the number in your financial year.

Factorisation Rules Basis

- 1 - Factorisation calculations made by value.
- 2 - Factorisation calculations made by quantity.

Only one method of factorisation may be set up since it is impossible to have two ratios for the processing of values across a range of accounts.

Factorisation Rules Period Lag

Enter the number of periods previous to the current period from which values are to be reported. It is expected, but not vital, that the number of periods would be less than the number in your financial year.

Maintain Source Rules

Enter 1 to maintain source rules, which will bring up a window.

Maintain Factorisation Rules

Enter 1 to maintain factorisation rules, which will bring up a window.



If you entered 1 to maintain source rules, you will see the Maintain Source Rules window.

Maintain Source Rules Window

At the source rules selection window select to amend, copy or delete source rules. New source rules may be added.

At the second source rule window confirm your chosen option by **F11=Delete** or **F8=Update**. A small window asks for a name for the new copied journal. Whether copy or amend the Maintain Cost Allocation Journal window displays.



Complete the Maintain Cost Allocation Journal Screen (Option 1) and **Enter** to display this window. Select a ledger to amend or copy at the first Maintain Source Rules window.

GL510		Z1 - GB Demonstration Company		User GBJBA1MS		8/01/98	
Maintain Cost Alloc				Maintain Source Rules			
Maintain Source Rule							
Journal.....	NEWONE	NEW ADV COST ALLOCN JNL				*AMEND	
Type.....	M	(*BLANK=Fiscal, M=Memo)					
Reversing?....	1	(0/1)					
Ledger.....	P/L	Profit & Loss					
Description...	SRC_RULE ADV COST ALLOCN JNL						
Percentage....	90.00						
Level	From?	To?	Link	Unalloc.target?			
1 Expense.....	AATEST	AUSER2	1				
5 Corporate.....							
6 Cost Centre.....							
F3=Exit F4=Prompt F12=Previous							
F8=Exit F10=Add a Journal							
12-64 SA MW KS CL IM DM II STUD140 KB PKH312S1							

Fields:

Description

Enter the description for the rule's range of accounts of up to 30 characters in length.

Percentage

Enter the percentage of the value to be picked up by this journal.

From?

Enter the first level code in the range of codes you want to have included for this level. Leave this field and the corresponding To field blank to accept all level codes for this level.

To?

Enter the last level code in the range of codes you want to have included for this level. Leave this field and the corresponding From field blank to accept all level codes for this level.

Link

1 - If you want the code to be linked.



Note: You can link more than one level.

2 - For the next linked level.

3 - For the third linked level, and so on.

A linked level code for a range of source accounts will link to a level code within the range of factor accounts. It will also result in a list of subtotals being taken by that level code. Each subtotal will then be factorised by the same level code in the range of factor accounts.

Unalloc. Target

Enter the level code appropriate to the unallocated target account to which you want the factorised values to be sent.

If the level code is to be the same as the code expressed in the level code range, enter an = sign. Clearly, one of the target level codes must differ from the level codes specified in the level code range.



Note: Two links do not have to be the same type, merely the same length. However, it would be illogical to link and allocate to accounts on the basis of totally different links.



If you entered 1 to maintain factorisation rules, you will see the Maintain Factorisation Rule window.

Maintain Factorisation Rule Window 1

Add description and factorisation rules details for the selected source rules.



Note: See Factorisation Explanation for more information.



This window displays when you select a ledger on the Maintain Source Rules first selection window.

GL510		Z1 - GB Demonstration Company		User GBJBA1MS	8/01/98
Maintain Cost Alloc. Maintain Factorisation Rules					
Maintain Factorisation Rule					
Journal.....	BC0002	Cost Of Sales Reallocation			*ADD
Type.....		(*BLANK=Fiscal, M=Memo)			
Reversing?....	0	(0/1)			
Ledger.....	P/L	Profit & Loss			
Description... █					
Level	From?	To?	Link	Target?	
1 Expense.....	_____	_____	-	≡	
5 Corporate.....	_____	_____	-	≡	
6 Cost Centre.....	_____	_____	-	≡	
F3=Exit F4=Prompt F12=Previous					
F3=Exit F10=Add a Journal					
9-21 SA MW KS CL IM DM II STUD140 KB PKH312S1					

Results from specified factor accounts are allocated in a second Maintain Factorisation Rule window.

Maintain Factorisation Rule Window 2

Displays details of copy or amendment for information and update.



Note: See Factorisation Explanation for more information.



Press **Enter** to display the second window at the first Maintain Factorisation Rule Window.

```

GL510          Z1 - GB Demonstration Company      User GBJBA1MS      8/01/98
Maintain Cost Alloc  Maintain Factorisation Rules
Maintain Factorisation Rule
Journal..... BC0002 Cost Of Sales Reallocation      *ADD
Type.....      (*BLANK=Fiscal, M=Memo)
Reversing?.... 0      (0/1)
Ledger..... LCT Longterm Contracts

Description... Long Term Contract Postings

Level          From?          To?          Link Target?
1 Contract..... MEMO          MEMO          3600
2 Country..... 81          81          =
3 Project Codes... 1001        1001        =
4 Completion Date... 95          95          =
5 Corporate..... 03013       03013       =
6 Location..... 10          14          =
7 Month..... AUGU          SEPT        =
8 Contract Managr... 010        013          =
9 Cost Type..... W          W          =

F3=Exit      F8=Update      F12=Previous
F3=Exit      F10=Add a journal

11-1      SA      MW      KS CL IM DM II      STUD140      KB      PKH312S1
  
```



Press **F8=Update** to save the amendment or **F12=Previous** or **F3=Exit** to return to previously used advanced cost allocation journal screens.

Journal Group Maintenance

1... **7/GLJ**
2...

The posting of series of linked journals can be a complex task. If journals are posted in the wrong sequence, the results will be incorrect. To avoid this possibility, you can use the facility provided here to set up your journals in a group, ensuring that they are processed correctly.

For example, you may want to post a constant journal to an account prior to running an apportionment journal over it.

Journal Group Maintenance Selection Screen



Select the GL journal maintenance option
Journal Group.

Existing journal groups display. Select a journal group for amendment at this screen.

GL642		Y9 - Education Company - Y9		User GBJBAMGS		26/06/95 13:15:18	
Maintain Journal Groups							
I Group	Description	R	Start Perd	End Perd	Freq	Curr	Rate Code
1 TEST	Test Group	0			1	GBP	*DFT
Journal Group . TEST Description . Test Group Reversing . . . 0 Currency . ? GBP Rate . . ? *DFT Start period . End period . Frequency . 1 1=Select 4=Delete F3=Exit F4=Prompt							
19-41 SF MK KS IM II EDN400A PCET02S3							

Fields:

Select

Enter one of the following:

1 - To amend a journal group.

4 - To delete a journal group.

Journal Group

Enter the code of the new journal group.

Description

Enter the journal group description as required.

Reversing

0 - For a normal journal posting to the applicable period only.

1 - For a journal posting to the applicable period and a reverse posting to a subsequent period.

Currency

Enter the currency of the posting.

Rate

If this is a currency journal, enter the rate code to be used to decide the base value.

Start Period

If posting should commence in a specific period, enter that period here.

End Period

If posting should end in a specific period, enter that period here.

Frequency

If the posting of the journal should only occur at periodic intervals, enter the number of periods here. To post every three periods, for example, enter 3 here.



Select a group to maintain, or set up a new group, the Journal Groups Define Maintenance screen enables you to define journals to that group.

Journal Groups Define Maintenance Screen

This screen enables you to define journals to selected journal groups.



Display this screen by selecting a group to maintain, or set up a new group.

GL642		Y9 - Education Company - Y9		User	GBJBAMGS	26/06/95
						13:15:47
Maintain Journal Groups						
TEST	Test Group	Curr .	GBP	Rate	Code .	*DFT
I Seq No	Journal Description			Type		
- 10	CN0001 Depreciation			CONSTANT		
- 20	AP0001 Postage/stationery recharge			APPORTIONMENT		
Journal . ?						
Sequence . .		<u>30</u>		Type . .	<u>_</u>	
1=Select 4=Delete						
F3=Exit F4=Prompt		F12=Previous				
21-14		SF		IM	II	EDN400A PCET02S3

Fields:

Select

Enter one of the following:

1 - To amend a journal.

4 - To delete a journal.

Journal

Enter the code for the journal to be added to this group.

Sequence

As long as you enter the journals in the correct sequence, the default value can be left unchanged. Amend as necessary to re-sequence journals.

Type

Enter the type of journal being added to the group. Valid types are:

2 - Constant journal.

4 - Apportionment journal.

5 - Cost allocation journal.

The types may be mixed within one journal group.



Press **F8=Update** to update.



Note: A journal can belong to only one journal group.

Journal Maintenance Reports



Select the Journal Reports option (Maintenance)
for the type of journal you wish to see printed.

A window will display asking you to confirm your request.

A report of all journals of the selected type for this company is printed.

Standing Maintenance Reports



21/GLJ



Select the maintenance journal reports option
Standing to run a batch job.

A window will display asking you to confirm your request.

A report of all journals of the selected type for this company is printed.

Constant Maintenance Reports



22/GLJ



Select the maintenance journal reports option
Constant to run a batch job.

A window displays asking you to confirm your request.

A report will be printed of all journals of the selected type for this company.

Spread Maintenance Reports



23/GLJ



Select the maintenance journal reports option
Spread to run a batch job.

A window displays asking you to confirm your request.

A report will be printed of all journals of the selected type for this company.

Apportionment Maintenance Reports



24/GLJ



Select the maintenance journal reports option
Apportionment to run a batch job.

A window display asking you to confirm your request.

A report is printed of all journals of the selected type for this company.

Cost Allocation Journal Report



25/GLJ



Select the maintenance option to print Cost Allocation Journals.

A screen displays asking you to select the journal you wish to see in the report.



Press **F8=Submit** to accept.

A report will be printed of the selected journal details.